

## **AI & Automation Strategy**

### **Strategic Objective & Business Value**

The overarching goal of the AI and automation strategy is to evolve the Snoonu Merchant Portal from a passive data repository into an active, "self-driving" growth partner. Currently, merchants suffer from decision fatigue, struggling to interpret raw analytics to make timely business moves. By embedding intelligence directly into the workflow, the platform shifts the burden of analysis from the user to the system. This strategy targets a reduction in operational inefficiencies and a significant increase in the adoption of paid growth tools. By automating routine decisions, such as inventory reordering or campaign scheduling, Snoonu not only lowers the barrier to entry for sophisticated marketing but also creates high switching costs, as merchants increasingly rely on the platform's proprietary brain to manage their daily operations and profitability.

### **Core AI Architecture: The Hybrid Model**

The platform utilizes a hybrid AI architecture that balances the precision of deterministic machine learning with the flexibility of Generative AI. The "Predictive Intelligence" layer drives the decision-making engine, utilizing demand forecasting models that synthesize historical sales data, real-time weather APIs, and local event calendars to predict zone-specific demand 24 to 48 hours in advance. This engine also powers a churn risk classifier and an inventory velocity model, which proactively flag "at-risk" merchants for internal support teams and trigger stockout alerts before inventory reaches critical levels. Complementing this is the "Generative Intelligence" layer, which acts as the interface between data and the user. Large Language Models (LLMs) function as an always-on analyst, translating complex performance matrices into natural language summaries for the Feedback tab, while also serving as a creative engine that auto-generates localized, high-converting ad copy and visual assets for the Campaign Builder, ensuring that marketing requires nothing more than a strategic approval from the merchant.

## **Tiered Automation Framework**

To facilitate trust and adoption, automation is deployed across a progressive three-level framework. The first level, Advisory Automation, functions as a nudge system where the AI detects patterns, such as a dip in specific menu item conversion, and alerts the merchant with a suggested fix. The second level, One-Click Execution, reduces operational friction by pre-packaging complex tasks; for example, the system might draft a complete "Late Night Bundle" based on trending search data, requiring only a single click from the merchant to launch. The final level, Full Autonomy, is reserved for Platinum partners and handles pre-authorized, time-sensitive actions within strict budgetary limits, such as automatically deploying dynamic pricing protections or retention coupons when a competitor aggressively lowers their delivery fees in a shared zone.

## **Technical Pipeline & Safety Guardrails**

The technical foundation relies on a real-time ingestion pipeline that streams order events, clickstream data, and inventory updates into a centralized feature store. This data feeds both real-time inference services for immediate scoring and batch processing jobs for nightly forecasting. Crucially, the system employs a rigorous safety layer to maintain trust and brand integrity. A rule-based guardrail system validates all AI-generated suggestions against hard business logic, ensuring, for instance, that a recommended discount never erodes profit margins beyond a safe threshold. Simultaneously, content filters vet all generative outputs to ensure they align with Snoonu's brand voice and local cultural norms, preventing hallucinations and ensuring that the "self-driving" experience remains safe, accurate, and profitable.